

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Criminal Appeal No.52336 of 2017

Deputy Director, Anti Money Laundering, Intelligence and Investigation, Inland Revenue, Lahore.

Versus

Learned Special Judge, Customs, Taxation and Anti-Smuggling, Lahore, etc.

Date of hearing: 18.02.2021

Appellant by:- Barrister Muhammad Umer Riaz,
Advocate.

Respondents by:- Nemo.

SADAQAT ALI KHAN, J. An application of the appellant under Section 8 of the Anti-Money Laundering Act, 2010 (AMLA) for obtaining the permission to provisionally attach the property mentioned therein has been dismissed by the learned Special Judge (Customs, Taxation and Anti-Smuggling), Lahore on the ground of having no jurisdiction vide order dated 06.06.2017, relevant portion thereof is hereby reproduced as under:-

“it is the Court of Session established under the Code of Criminal Procedure 1898 that shall have the jurisdiction to try and adjudicate the offences punishable under Anti Money Laundering Act, 2010 and all matters connected therewith or incidental thereto would also be dealt with the Court of Session having territorial jurisdiction in the matter. Proviso (a) to this section confers jurisdiction relating to trial of offence of Anti Money Laundering Act, 2010 and all matters connected therewith or incidental thereto, upon the court where matter relating to any predicate offence is pending adjudication. Indeed at the moment no proceedings whatsoever relating to any predicate offence mentioned in the schedule to Anti Money Laundering Act, 2010 are pending before this court. Where no cases/proceedings are pending with regard to any predicate offence then this court has hardly any jurisdiction to pass an order under the provision of

section (8) (1) of Anti Money Laundering Act, 2010. The phrase the court trying the predicate offence is vividly indicative of the fact that this court can only assume the jurisdiction to pass an order under section (8) (1) of Anti Money Laundering Act, 2010 when any case relating to predicate offence is pending and being tried by this court. (Emphasis supplied). Admittedly, no case or proceedings are pending before this court against the respondents relating to predicate offence, therefore, this court has got no jurisdiction to pass an order under the provisions of section (8) (1) of Anti Money Laundering Act, 2010. In this eventuality jurisdiction relating to provisions of section (8) (1) will vest with the Court of Session within whose territorial jurisdiction offence pertaining to Anti Money Laundering Act, 2010 has been shown to be committed. Jurisdiction of this court can be invoked by the concerned authorities only when this court is trying the predicate offence. Where predicate offence is still up in the air and no proceedings regarding any predicate offence are pending before this court, no jurisdiction in my humble view can be invoked by this court to pass an order in terms of section (8) (1) of Anti Money Laundering Act, 2010.”

2. It would be advantageous to reproduce section 20 of the “AMLA” dealing with the jurisdiction of the Court as under:-

“20. Jurisdiction.—(1) The Court of Sessions established under the Code of Criminal Procedure, 1898 (V of 1898) shall, within its territorial jurisdiction, exercise jurisdiction to try and adjudicate the offences punishable under this Act and all matters provided in, related to or arising from this Act:

Provided,—

(a) where the predicate offence is triable by any court other than the Court of Session, the offence of money laundering and all matters connected therewith or incidental thereto shall be tried by the Court trying the predicate offence; and

(b) where the predicate offence is triable by any court inferior to the Court of Session, such predicate offence, the offence of money laundering and all matters connected therewith or incidental thereto shall be tried by the Court of Session.”

Succinct reading of proviso (a) of above section abundantly makes it comprehensible that **if the predicate offence** is triable by any Court other than the Court of Session, the offence of money laundering and all matters connected therewith or incidental thereto shall be

tried by the Court trying the predicate offence. **The predicate offence has been defined in Section 2 of subsection xxvi of the “AMLA”** which is hereby reproduced as under:-

“means an offence specified in Schedule-I of this Act (AMLA)”

3. Articles 192, 192(A) and 199 of the Schedule-I to the “AMLA” are reproduced hereunder:-

“192 Prosecution for false statement in verification - where tax sought to be evaded is ten million rupees or more.

192A Prosecution for concealment of income – where tax sought to be evaded is ten million rupees or more.

199 Prosecution for abetment – where tax sought to be evaded is ten million rupees or more.”

Above mentioned predicate offences (**scheduled offences of the AMLA**), all matters connected therewith or incidental thereto are exclusively triable by learned Special Judge (Customs, Taxation and Anti-Smuggling).

4. Section 39 of the “AMLA” has also got overriding effect, the provision of this Act shall be in addition to and not in derogation of. For ready reference, Section 39 of the “AMLA” is reproduced hereunder:-

“39. Act to have overriding effect. (1) Subject to sub-section (2), the provisions of this Act shall have effect notwithstanding anything inconsistent contained in any other law for the time being in force.

(2) The provisions of this Act shall be in addition to, and not in derogation of, the Anti Narcotics Force Act, 1997 (III of 1997), the Control of Narcotics Substances Act, 1997 (XXV of 1997), the Anti-terrorism Act, 1997 (XXVII of 1997) and the National Accountability Ordinance, 1999 (XVIII of 1999) **and any other law relating to predicate offences.**”

5. In view of above discussion, I have reached to an irresistible conclusion that as per section 20 (1) proviso (a) of the “AMLA” reproduced above, the learned Special Judge (Customs, Taxation and Anti-Smuggling) has exclusive jurisdiction to try the offences of the “AMLA” i.e. predicate offences (**scheduled offences of the AMLA**), relating to tax

evasion, all matters connected therewith or incidental thereto, like matter in issue but the learned lower Court wrongly dismissed the application of the appellant by observing that it had no jurisdiction unless predicate offence is pending before it through the impugned order which is illegal, perverse and not sustainable.

6. For the foregoing reasons, this appeal is allowed, impugned order dated 06.06.2017 passed by learned Special Judge (Customs, Taxation and Anti-Smuggling), Lahore is hereby set aside, and application of the appellant is deemed to be pending before the learned lower Court which is directed to decide it on its own merits in accordance with law.

(SADAQAT ALI KHAN)
JUDGE

Approved for Reporting

JUDGE